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Eli Lilly Working to Cut Costs

The pharmaceutical company says severance expenses would eat into unadjusted profit in the year

By Austen Hufford

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Eli Lilly and Co.'s headquarters in Indianapolis. DARRON CUMMINGS/ASSOCIATED PRESS

Eli Lilly LLY -0.13% ▼ & Co. on Tuesday reported higher revenue but swung to a loss and cut its profit forecast due to charges related to cost-cutting efforts.

The company said it was working to reduce its cost structure but that severance expenses would eat into unadjusted profit in the year. In the first quarter, Lilly took a $213.9 million charge for severance-related items as well as for Novartis integration costs.

It now expects to earn $2.60 to $2.70 per share in 2017, compared with the $2.69 to $2.79 it expected previously. Still, the company reaffirmed its revenue and adjusted earnings per share guidance.

Manufacturing efficiencies helped lift Lilly's gross margin to 74.6% from 72.8% in the first quarter last year.

Volume growth was helped by diabetes treatment Trulicity, skin-drug Taltz and other new drugs. Cancer treatment drug Alimta and antipsychotic medication Zyprexa hurt volumes in the quarter. Sales of blockbuster erectile-dysfunction drug Cialis fell 7% to $533.6 million, hurt by decreased demand.

In all, global volumes rose 8% in the quarter, which were partially offset by a 1% hit on unfavorable exchange rates.

Sales of Humalog, one of Lilly's biggest products by revenue, grew 17% to $708.4 million driven by a prior U.S. quarter having higher discounts and by increased demand in the most recent quarter. Sales in its animal-health division, which Lilly bought from Novartis AG for about $5.4 billion in 2014, grew 2% to $769.4 million. In January, Eli Lilly closed on its acquisition of Boehringer Ingelheim Vetmedica Inc.'s U.S. pet vaccines portfolio for $885 million in a move to grow its animal unit.

During the quarter, the company also bought CoLucid Pharmaceuticals Inc., adding a potential near-term launch to its late-stage drug pipeline with lasmiditan for acute migraines, but also taking a $857.6 million charge. The deal helped swing the company to a loss.

In all for the first quarter, Lilly reported a loss of $110.8 million, or 10 cents a share, compared with a profit of $440.1 million, or 41 cents a share, a year prior. Excluding certain items, earnings per share was 98 cents.

Revenue rose 7.5% to $5.23 billion.

Analysts projected 96 cents in adjusted per-share profit on $5.22 billion in sales.

This month, the U.S. Food and Drug Administration didn't approve Eli Lilly and Incyte Corp.'s new drug application for a rheumatoid arthritis treatment that some analysts estimate could generate more than $2 billion in annual sales. The FDA asked for more clinical data to determine the most appropriate doses and clarify safety concerns for baricitinib, a once-daily oral medication for the treatment of moderate-to-severe rheumatoid arthritis.

On Monday, Lilly also reported positive news from a clinical trial of an experimental breast cancer, saying abemaciclib, when added to an older type of breast-cancer treatment, improved measures of survival and tumor shrinkage in trial patients.

Shares of Lilly, up 11% over the past three months, were inactive in premarket trading.

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